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Establishing an "ECL" Culture in China: Organisational Difference or National Difference?

In the 1980s to 1990s, China had emerged as one of the most promising host countries for foreign direct investments in South-east Asia. Multinationals were attracted by the size and diversity of the marketplace, and were eager to build a successful and appropriate organisational infrastructure that helped to capture business opportunities. Electronic Communications Ltd ("ECL") was no exception. The company had decided to make China its second home and to seek common prosperity with Chinese people. ECL knew that there were major gains to be made, but there were also risks and challenges. One of these was the management of cultural differences. An essential question facing the management was whether they should adapt ECL's management practices to the Chinese culture, or whether they should instead implement ECL's global management policies in China.

ECL in China

ECL was a global leader in providing integrated communications solutions and embedded electronic solutions. Established in 1928 by Patrick Wright, ECL (formerly known as the Wright Manufacturing Corporation) first produced battery eliminators in Chicago. In 1930, the company produced a new product, the first practical and affordable auto radio. Auto radios were not available from automobile manufacturers, so the Wright auto radio was sold and installed as an accessory by independent automotive distributors and dealers. Patrick Wright coined the name "ECL" for the company's new products. In 1947, the Company's name was changed to ECL.

ECL saw a rapid development in the 1940s and 1950s. By the time of Patrick Wright's death in 1959, ECL was a leader in military, space and commercial communications, and had built its first semiconductor production facility. Under the leadership of Patrick's son, Robert Wright, ECL began to explore the international market in the 1960s, and had set up sales and manufacturing operations around the world.

ECL set up a representative office in Beijing in 1987. Two years later, questions about China's stability and economic policy forced many American companies to delay or scale back their plans for Chinese ventures. However, ECL still expressed confidence in the country's long-term economic prospects and was intent on maintaining operations there. In 1992, the company established a solely foreign-funded electronics venture in Tianjing.

Mary Ho prepared this case under the supervision of Dr. Gilbert Wong and Ms. Scarlet Chan for class discussion. This case is not intended to show effective or ineffective handling of decision or business processes. At the Company's request, names of companies and people have been disguised throughout the case.

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Located in the Tianjin Economic Technology Development Area, the venture produced pagers, cellular phones, two-way radios, network equipment, semiconductors, auto electronics and accessories, largely for sale in China and other markets in Asia. By 2000, ECL's facilities in China comprised one wholly-owned company, one holding company, seven joint ventures and 26 subsidiaries. They employed approximately 13,000 staff.

China represented a relatively new market for ECL. The market challenges and risks called for a strong national executive team presence. Since the workforce in China generally had limited exposure to modern management concepts, ECL resorted to filling its senior managerial positions with expatriates at the beginning. The expertise of these expatriates was required in laying the foundation for future operations.

ECL's expatriates in China realised that the management of human resources was one of the biggest challenges facing the Company. The fact that the Chinese had values and beliefs very different from their own could result in costly misunderstandings. If successfully managed, however, differences in culture could lead to better and faster learning within ECL.

Cultural Issues in ECL China

Cultural Differences: The Expatriate Perspective

Obedience and Humility

Traditional Chinese culture was one of obedience and humility. The conventional business structure was hierarchical, with the leader having natural authority. Unfortunately, the top-down tradition made it difficult for subordinates to be proactive. A new expatriate manager in ECL, for example, was surprised to find that his subordinates had not purchased furniture for his new office because they had not received any orders from him.

Communication Style

The Chinese attached greater value to indirect communication than to direct communication, as it was seen as more tactful. This meant that many of them were not used to direct criticism and confrontation. One expatriate commented that saying "no" to a Chinese partner could have a negative impact on their personal relationship, since it could be viewed as a personal rejection that carried with it a grave loss of "face" for the partner. Hence, expatriates often found that they had to be more sensitive when dealing with the Chinese, who tended to give indefinite answers to problems. An expatriate in ECL had the following comment:

> *In China, people like to talk about grey areas. If you ask a question about something, people may say the problem is not too big. You are not sure whether the emphasis is on the 'problem' or 'not too big'. So you've got to do more digging.*

The US anthropologist Edward T. Hall, coined the term "high context" for this culture.[1] This was because the meaning of what the Chinese were saying was often found more in the context surrounding the words than in the words themselves.

Lack of Teamwork Capability

Expatriates in ECL generally agreed that the individual quality of their Chinese staff was very good. However, the staff often lacked the expected teamwork capability. Some expatriates attributed this problem to the education system in China, where students with very good

[1] Gesteland, R., (1999), *Cross-cultural Business Behaviour: Marketing, Negotiating and Managing Across Cultures*, (Second Edition), the USA: Copenhagen Business School Press, pp.38.

teamwork capability might not be rewarded, because the system placed more emphasis on testing individual ability.

Cultural Differences: The Chinese Perspective

Personal Relationship ("*Guanxi*")

A common Chinese perception was that close personal relationships could promote more open and frank communication between managers and their subordinates and colleagues. As opposed to deal-focused Western cultures, the Chinese depended more on *guanxi* to prevent difficulties and solve problems. An engineer in ECL commented that expatriate managers often spent less time cultivating personal relationships. From the perspective of the Chinese, such inadequate attention to managing personal relationships could undermine managerial effectiveness.

Legal Culture

The Chinese took a purpose-oriented approach in dealing with contracts. Their priority was to clarify objectives and achieve mutual understanding. While the Western approach put a great deal of emphasis on specificity, the Chinese focused more on developing trust. One expatriate recalled that this difference in legal culture was the first thing he learned in ECL China.

> *In here, you don't go by the contract, word for word directly at first… You first establish relationship – get to know the person. And get the trust - mutual trust. I found that it may be time-consuming, and from the US stand, it's not very efficient.*

"Face"

In the collectivist Chinese society, "face" was a combination of dignity, self-respect, prestige and social standing, as perceived by others.[2] For instance, a manager who criticised his subordinate or colleague could cause that person to lose face, especially if this was done in the presence of others. One implication of "face" for an expatriate manager was the need for protecting the "face" of his staff and preserving harmonious relationships. A testing engineer in ECL, for example, reported that some of his colleagues were not happy with the management style of an expatriate manager, who gave them very direct feedback and often caused them to lose "face".

Personal Development

In China, being technically solid was a prerequisite to becoming a manager. Without sound technical skills, it was difficult to get respect from staff. This was different from in the West, where employers tended to focus less on technical skills and place more emphasis on personal development.

Reliance on Systems

The Western management style differed in many respects from that found in China. One significant difference was that the Western management style put more emphasis on systems, which allowed managers to delegate more. However, some Chinese staff were concerned that the system was an obstacle to speeding up the decision-making process. Many of them would have preferred to find short-cuts to solve problems, but the system in ECL required them to follow rules and procedures, and to solve problems step-by-step.

The above differences created the need to strike a balance between seemingly opposing cultural values. To the expatriates, this seemed a daunting task. Indeed, cultural differences

[2] Chen, M., (1995), Asian Management System, London: Routledge.

could significantly affect ECL's ability to develop a common set of values worldwide. Having some 140,000 employees around the world, ECL always tried to ensure consistent understanding of its management principles, and these common principles had to be shared by its employees in China.

Establishing an ECL Culture in China

Management Philosophy

"Constant respect for people" and "uncompromising integrity" had long been the key beliefs in ECL. In contrast to many stated-owned enterprises in China, where people behaved in a spontaneous way that was not subject to the influence of the organisational culture, employees in ECL were trained and guided by the company's basic values and objectives [see **Exhibit 1**].

The management of ECL laid down certain guidelines that reinforced their key beliefs. For instance, front-line staff in the Tianjing factory were allowed to have lunch early, followed by back-office staff and senior management. The reason was to show appreciation to front-line workers who had to handle laborious tasks. ECL put a lot of emphasis on "caring for people", and believed that bad performers should not be dismissed right away. Thus ECL would try to relocate bad performers and to find jobs that suited them.

ECL had a policy of filling senior management positions with current managerial employees. This ensured that those who ran the organisation had been fully indoctrinated into ECL's culture. Promoting from within therefore provided stability and guaranteed that the company's culture would remain unchanged.

Training at ECL University China

ECL China had an independent university division to put the corporate philosophy into action. Established in 1993, the goal of ECL University was to ensure ECL's position as an industry leader by providing learning solutions that focused on current and future business needs. Learning solutions were a major component of ECL's four-point business strategy in China. The four points were: investment/technology transfer, management localisation, local sourcing, and joint ventures and co-operative projects [See **Table A**].

TABLE A
ECL'S FOUR-POINT BUSINESS STRATEGY

Investment/technology transfer	To be closer to customers and the market and to achieve Win-Win by helping to grow the wireless communications industry of the country
Management localisation	To train and develop the Next Generation Leaders
Local sourcing	To develop a high-quality supplier base for ECL's global requirements
Joint ventures and co-operative projects	To help joint-venture partners to develop the highly skilled technicians and managers needed to manufacture quality products

ECL's learning policy required every employee, regardless of position or function, to participate in at least 40 hours of job-relevant learning each year. In 2001, ECL University would enable employees to achieve at least 30 per cent of all learning via e-learning. Seventy per cent of the training-needs analysis was conducted in the States, where training experts provided "top-down" education solutions to the employees in China. Thirty per cent of the analysis was conducted by local Chinese training experts, who were responsible for providing localised solutions to develop Asian leaders.

In 1999, ECL spent US$13.7 million on training its Chinese employees, providing an average of 5.8 days of training per employee. For first-time managers, ECL University offered the six-month ECL Management Foundation Programme, which provided training in basic managerial skills, problem-solving, communication and leadership. The ECL high-tech MBA programme enabled high-potential ECL managers to earn a Master of Business Administration degree with an emphasis on high technology. These well-trained managers acted as role models for conveying to new recruits what the ECL culture was all about.

Coaching

ECL China also provided coaching, which was the pairing of local staff with experienced expatriates or local experts to share work experiences, and skills to exchange understanding of the Company culture. Expatriates therefore played a significant role in knowledge transfer.

Overseas Training - Benchmarking

Benchmarking was basically about getting exposure to and learning about the best practice in the industry. To this end, ECL sent its staff to other parts of China and even overseas for benchmarking. They visited not only ECL's affiliated companies, but also other companies in the industry. During these visits, ECL's staff gained insights into new business practices and management issues.

Staff Rotation

One of ECL's retention strategies was to increase employees' exposure and enhance their management skills through working in different positions and corporate offices. This proved to be an effective tool in retaining capable staff, since they could derive satisfaction through the sharing of insights and observations with colleagues through an in-company network.

Teaming for Excellence

One critical element in ECL's manufacturing system was for all team-members to understand the importance of working together to produce the highest-quality products in the world. The formation of Teaming for Excellence (TFE) teams was one of the major programmes of quality training. The purpose of this programme was to encourage staff to work together to solve work-related problems. Teams of learners selected issues and tackled them by applying ECL's six steps to team problem-solving [see **Table B**]. If a team member had an idea for how to solve a problem, he was not allowed to execute it alone. Rather, he had to go through a very involved process of discussing it and reaching a consensus with other team-members that this was the right way of solving a problem.

TABLE B
ECL'S SIX STEPS TO TEAM PROBLEM-SOLVING

Step 1:	✓ Prepare an agenda ✓ Select an issue ✓ Identify customers ✓ Understand customers' requirements ✓ Understand the current situation
Step 2	✓ Analyse the cause of the problem ✓ Give explanation
Step 3	✓ Identify potential solutions
Step 4	✓ Make a decision
Step 5	✓ Put into action
Step 6	✓ Assess the outcome ✓ Benchmark ✓ Promote new standards

TFE teams were required to participate in competitions that were held annually at national, regional and global levels. The TFE programme was very well received by the Chinese staff, who felt united through participating in various competitions. In ECL Tianjing, about 85 per cent of the staff had participated in TFE activities. Forty per cent of the staff had a chance to take part in the local competition.

ECL assessed an individual's performance in the TFE teams. Thus an individual's contribution to the team was taken into account during the appraisal process. Although the employees were not offered bonuses, many of them felt rewarded because they had been given unexpected learning opportunities.

"I Recommend"

"I Recommend" was a programme in ECL China that very much reflected the cultural values of the West. This programme helped to facilitate communication across hierarchies, but it tended to run counter to the notion of humility that the Chinese cherished. The programme encouraged staff to be outspoken and to take the initiative to communicate their recommendations to management. In support of this, management was required to adopt an "Open-door Policy". Bulletin boards were made available so that staff could post questions or recommendations.

Some expatriates started similar programmes for their own departments. A programme called "Let's Talk" was started in the Joint Development Laboratory, a joint venture between ECL's Semi-conductor sector and the China Science Academy. The aim of this programme was to encourage staff to speak English and to understand each other better. One expatriate also introduced "The Seven Habits of Highly Effective People" to his staff. These programmes proved to be a real eye-opener for the young Chinese staff, who loved to learn not only new technology, but also new management skills.

Dialogue Sessions and Town Hall Meetings

Dialogue sessions were an integral part of the development-oriented management system in ECL China. During such sessions, superiors had face-to-face discussions with their subordinates, who were asked to answer six IDE questions. Based on the subordinates' personal career aspirations, managers would help them to develop their future development plans.

ECL: THE SIX IDE QUESTIONS

1. Do you have a substantive, meaningful job that contributes to the success of our customer and ECL?
2. Do you know the on-the-job behaviours and have the knowledge base to be successful?
3. Has the training been identified and been made available to continuously upgrade your skills?
4. Do you have a personal career plan and is it exciting, achievable and being acted upon?
5. Do you receive candid, positive or negative feedback at least once every 30 days that is helpful in improving your performance or achieving your personal career plan?
6. Is there appropriate sensitivity to your personal circumstances, gender and/or cultural heritage so that such issues do not detract from you success?

The dialogue sessions were buttressed by town hall meetings that were held quarterly. All staff was encouraged to participate in these meetings, which allowed the management to explain ECL's strategy, current situation and its future direction.

Employee Service Committee

Within foreign-invested enterprises, employees had the right to set up grassroots labour union organisations and to carry out labour union activities in accordance with the provisions of the Labour Union Law. To comply with the law, ECL China had set up an Employee Service Committee that functioned like a labour union. The basic task of the Employee Service Committee was to safeguard the lawful rights and interests of the staff members, and to organise the staff members in sports activities, leisure activities, and political study. Representatives of the Committee were members of the Party, who normally performed their duties after office hours. They had the right to attend dialogue sessions with the top management but did not have voting powers. The Party Secretary, i.e. the leader of the Employee Service Committee, was responsible for handling employee relationship. The role played by ECL was to ensure that sufficient funds were allocated to the committee and that the committee had performed its role of taking care of the employees.

The Human Resources Department

> *In ECL, we look on the human resources department as our mother, whereas we look on our business units as our father.*
>
> \- Engineer of the Personal Communications Sector (Tianjing)

In many traditional Chinese organisations, the human resources department was a power centre that had an important line function. Specialists within the human resources department were grouped under one single department, which reported to the General Manager. The General Manager had authority over other business functions. In this type of organisational structure, the chain of command was very simple, extending directly from the General Manager to the line managers [see **Exhibit 2**].

In ECL China, the chain of command was not as straightforward as in a typical Chinese company. Personnel specialists were not under the direct supervision of the general manager. Rather they were assigned to different business units, where they worked with line managers as strategic partners [see **Exhibit 3**]. Thus ECL's personnel specialists played an important supporting role to assist and advise, and in general to reduce the administrative burden of the line managers. In certain large business units, they also participated in making strategic planning decisions.

ECL's concept of attaching human resources specialists to business units was rather new in China. While the human resources services were shared in the past, they were now being converted into integrated services. This resulted in the weakening of the boundary between the human resources department and other business departments. Under the new integrated structure, the human resources manager would no longer have his own people to manage. Instead, he would have to work with his partners from various business units.

To play the role of a strategic partner required soft management skills. This was one of the major challenges facing ECL's personnel specialists, since they did not inherit the authority or the power vested in a traditional human resources department.

The Challenges Ahead

ECL had relied upon a combination of training and systems to mould Chinese workplace behaviour. This had proved to be very successful. Employees in ECL were very conscious of the culture and values of the company. There were big payoffs for good performers, since ECL would actively identify them, put them in a key talent pool, and provide them with systematic training opportunities. ECL's intention in providing intensive training was to gradually replace expatriates with "home-grown" Chinese managers who could run the company and accept its system.

There was some doubt, however, as to whether the replacement of expatriates could be completed within a short period of time. Even though local Chinese employees were given opportunities to climb the corporate ladder, the senior management positions in ECL China were still dominated by expatriates. According to one ECL staff, these expatriates mainly played a monitoring role. A problem with this was that they were not vested with enough decision-making power to respond quickly to the market, since the key decisions had to be made by their counterparts at the Company's headquarters in the United States.

Another issue that affected the localisation process was the quest for competent people. With the current speed and momentum of reform, the demand for competent personnel was greater than the supply. This excess demand was compounded by three roadblocks. The first roadblock was the issue of emigration. The best and the brightest graduates from reputable universities qualified for emigration to Canada and other countries. This represented a tremendous brain drain on the system. The second roadblock was the attractive remuneration packages offered by certain state-owned enterprises. These had lured away some of the best people from foreign-invested companies. A third roadblock was expected to be the competition brought about by China's accession to the World Trade Organisation. Once this happened, the influx of foreign investors was likely to result in more intense competition. ECL's future success, therefore, was contingent on the continued motivation and retention of competent employees.

EXHIBIT 1
ECL: BASIC VALUES AND OBJECTIVES

Fundamental Objective: total customer satisfaction

Key beliefs – how we will always act

Constant respect for people – It means we treat others with dignity, as we would like to be treated ourselves. Constant respect applies to every individual we interact with around the world.

Uncompromising integrity – It means staying true to what we believe. We adhere to honesty, fairness and "doing the right thing" without compromise, even when circumstances make it difficult.

Key goals – what we must accomplish

- Increased global market share
- Best in class
  - People
  - Product
  - Marketing
  - Manufacturing
  - Technology
  - Service

- Superior financial results

Key initiatives – how we will do it

- Total cycle time reduction
- Product and manufacturing leadership
- Profit improvement
- Participative management within, and co-operation between organisations

EXHIBIT 2
THE TRADITIONAL CHAIN OF COMMAND IN CHINA AND THE ROLE OF THE HUMAN RESOURCES DEPARTMENT

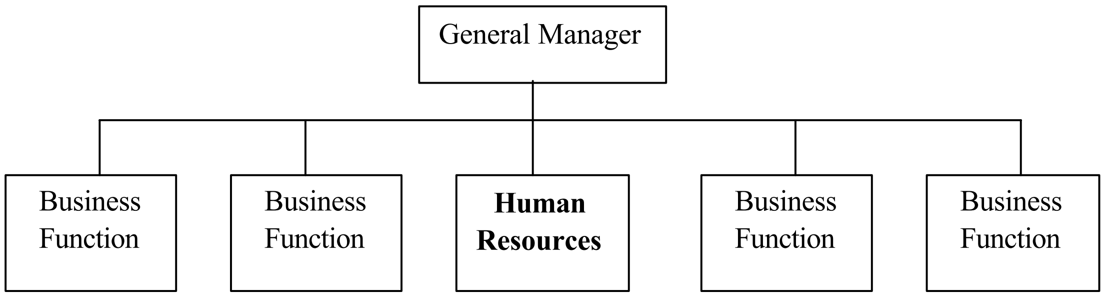

EXHIBIT 3
ECL'S CHAIN OF COMMAND AND THE ROLE OF THE HUMAN RESOURCES DEPARTMENT